Dinesh Chandra Chaudhary & Another vs State Of U.P. & Others on 23 January, 2018

Bench: Sudhir Agarwal, Shashi Kant

HIGH COURT OF JUDICATURE AT ALLAHABAD

Court No. - 34 AFR

Case :- WRIT - C No. - 13917 of 2007

Petitioner :- Dinesh Chandra Chaudhary & Another

Respondent :- State Of U.P. & Others

Counsel for Petitioner :- M.D. Singh Shekhar, Nitin Gupta, Rajesh Mishra

Counsel for Respondent :- C.S.C.

Hon'ble Sudhir Agarwal,J.

Hon'ble Shashi Kant,J.

1. Heard Sri M.D. Singh Shekhar, learned Senior Counsel assisted by Sri Rajesh Mishra, counsel for petitioners and learned Chief Standing Counsel for respondents.

2. Petitioners had Bhumidari rights over Khasra No.475, measuring 2800 sq. meters situated in Village Lakhan, Paragana Dasna, Tehsil Hapur, District Ghaziabad. Land was purchased by Petitioners from erstwhile owners vide sale deed dated 26.07.2002. They got mutation of their names in Revenue record. No acquisition proceedings of petitioners' land were initiated by respondents at any point of time but in a wholly, illegal and arbitrary manner, Administrative Authorities/respondents started on the aforesaid land, constructions of a road, connecting Lakhan Maland- Bhovapur, village for the benefit of Reliance Energy Project, which was to be established at Dadri, District Ghaziabad. Petitioners made all efforts to restrain respondents and protested but failed. When approached, District Magistrate, Ghaziabad and other Revenue Authorities as well as

Officers of U.P. Public Works Department (hereinafter referred to as "P.W.D."), held a meeting and assured Petitioners that they would be given an alternative land in exchange of their land occupied by respondents for construction of road. As instructed by Executive Engineer of U.P. P.W.D., Petitioners submitted a letter dated 30th June, 2005 stating that about 2800 sq. meters of their land is being used by respondents for construction of road, therefore, old road, which will render useless, be given to petitioners in exchange. Thereupon, Executive Engineer, P.W.D. Construction Division-II, U.P. P.W.D. Ghaziabad, (respondent 2) sent a letter dated 18th July, 2005, recommending/requesting District Magistrate, Ghaziabad, to allow exchange of land as requested by petitioners.

3. Tehsildar Hapur vide letter dated 10.08.2005 informed petitioners that as per orders of District Magistrate Ghaziabad and Tehsildar Hapur petitioners must submit an application for exchange of land under Section 161 of Uttar Pradesh Zamindari Abolition and Land Reforms Act, 1951 (hereinafter referred to as "Act 1951") in the Court of Sub Divisional Magistrate, Hapur (hereinafter referred to as "SDM"). Consequentially, petitioners submitted an application dated 16.08.2005 before Assistant Collector Ist Class/S.D.M. Hapur. Deputy Collector, Hapur sent letter dated 18.11.2005 directing Tehsildar, Hapur to re-examine question of utility of old road after construction of new road and submit its report after spot inspection. Such report was submitted by Tehsildar, Hapur on 07.12.2005 reiterating that old road had become useless after construction of new road. A recommendation for exchange was also made by Tehsildar vide report dated 20.12.2005. Deputy Collector however, found that area of old road recommended for exchange was 4070 sq. meter, while petitioners' land used for construction of road was only 2800 sq. meter. Therefore, he sought appropriate direction from Collector.

4. Additional District Magistrate thereupon sent a letter dated 16.03.2006, seeking guidance from Board of Revenue. Since petitioners were neither paid compensation nor given land in exchange, they submitted a letter dated 25.08.2006 to Collector, Ghaziabad requesting him either to permit exchange of land or pay compensation at market rate for the land used for construction of road.

5. Petitioners also applied under Right to Information Act, 2005 (hereinafter referred to as "Act 2005") as to whether any proceedings for acquisition of petitioners' land were initiated. In reply thereto, Public Information Officer in the office of Collector, Ghaziabad vide letter dated 18.11.2006 replied that no proceedings for acquisition of land of petitioners were ever initiated.

6. In the meantime, it appears that proceedings under Section 33/47A of Indian Stamp Act, 1899 (hereinafter referred to as 'Act, 1899') were initiated by Collector, Ghaziabad for determining market value of the land subjected to sale deed dated 10.06.2002. Notices were issued to Rakesh Mohan Singhal and Piyush Singhal who sold land to petitioners and in their absence, ex-parte order was passed on 12.12.2005 determining deficiency of stamp of Rs. 3,75,000/- and penalty of Rs. 3,75,000/-. Rakesh Mohan Singhal then preferred Appeal No. 23/2005 before Commissioner, Meerut Division, Meerut who rejected the same vide order dated 17.10.2006. Collector by order dated 12.12.2005, considered market value of land as Rs.1400/- per sq. meter, hence computed deficiency of stamp of Rs. 3,75000/-. A revision filed against Commissioner's order dated 17.10.2016 before Board of Revenue was pending, when this writ petition was filed.

7. Thereafter petitioner 1 received letter dated 04.12.2006 from office of Executive Engineer, that compensation of land is being distributed and petitioners may contact office and collect cheque of compensation after executing sale deed of land in dispute in favour of State Government. It also informed that total area 0567 sq. meter of land of petitioners in Khasra No. 475 was taken and utilized for construction of road without initiating any acquisition proceedings. Petitioners then contacted Executive Engineer who informed that compensation would be computed at the rate of Rs. 179/- per sq. meter and would be paid. Petitioners after giving a written undertaking and executing sale deed, can collect compensation at the said rate.

8. Writ petition, therefore, has been filed alleging that petitioners' land has been taken in a wholly, illegal and arbitrary manner, without initiating any acquisition proceedings and without paying any compensation. Further in proceedings under Section 34/47A of Act, 1899, Collector himself had determined market value for the purpose of stamp duty at the rate of Rs.1400/- per sq. meter but for the purpose of compensation, respondents are pressurizing petitioners to receive amount of compensation at the rate of Rs. 179/- per sq. meter, which is wholly, illegal, arbitrary. Respondents are trying to usurp petitioners' property without paying compensation at market rate. Deputy Collector has also not passed any order on application of petitioners filed under Section 161 of Act, 1951 and same is kept pending. Hence, this writ petition has been filed praying that either Deputy Collector be directed to pass order for exchange of land on the application filed under Section 161 of Act 1951 or respondents must pay compensation for illegal acquisition of petitioners' land, at the market value which at present is Rs. 2000/- per sq. meter.

9. Respondent 2 has filed counter affidavit sworn by Atibal Singh, Assistant Engineer, P.W.D. Ghaziabad. It is stated that under U.P. Land Acquisition Agreement for Determination of Compensation and Declaration of Award Rules of 1997 (hereinafter referred to as "Rules 1997") petitioners' land was taken in public interest by a Committee constituted under Government Order dated 29.09.2001, as amended by Government Order dated 10.08.2004. On the rates prescribed by such Committee, land was taken for construction of connecting road of National Highway-24 to Village Bhovapur, alongwith other land owners, petitioners were also informed vide letter dated 16.05.2005 to execute sale deed in respect of 2670 sq. meter of land of Khasra No. 475 by Committee constituted under Rules, 1997 read with relevant Government orders. The said Committee has determined compensation of land at the rate of Rs. 179/- per sq. meter and P.W.D. (respondent 2) is ready to pay compensation at the said rate. Petitioners' application under Section 161 of Act, 1951 has been rejected by Deputy Collector, Hapur on the ground that no land in exchange can be given to petitioners. The only option left is compensation, which is payable under Rules, 1997 read with Government Orders dated 29.09.2001 and 10.08.2004 at the rate of Rs. 179/- per sq. meter.

10. The above pleadings reveal facts not disputed by respondent 2 that petitioners purchased land from erstwhile owners Radhey Shyam and Piyus Singhal vide sale deed dated 16.08.2003 on a consideration of Rs.6,40,000/-. Area of land purchased by petitioners was 3100 sq. meter. Other land owners have accepted compensation at the rate of Rs.179/- per sq. meter and executed sale deed. Petitioners have not accepted the same, though Department is ready to pay compensation to petitioners at the rate of Rs. 179/- per sq. meter in public interest. Petitioners' land has been

acquired and road has been constructed. Copy of Rules, 1997 has been placed on record as Annexure-1 to counter affidavit.

11. Another counter affidavit has been filed by respondents nos. 3, 4, and 5, sworn by Sri Satish Chandra Shukla, Tehsildar (Judicial), Hapur, District Ghaziabad. It is stated therein that land of petitioners was acquired in public interest for construction of road and compensation is lying in office of respondent 2. Petitioners have not challenged market value and quantum of compensation offered by respondents before Competent Court and their application for exchange of land is pending before Board of Revenue. Therefore, writ petition is not maintainable. It is admitted that on petitioners' land in Khasra No. 475, (area 3100 sq. meter), on 2670, a road has been constructed. Exchange of petitioners' land with land of old road, which is in the nature of land under Section 132 of Act 1941, is not permissible. Petitioners however may collect compensation from office of respondent 2. Land has been acquired after following procedure of acquisition as per Rules, 1997.

12. A supplementary counter affidavit has also been filed on behalf of respondents 3, 4 and 5 stating that liability for payment of compensation lay upon Executive Engineer, P.W.D., (respondent 2). Petitioners' application under Section 161 of Act, 1951 has been rejected by S.D.M. Petitioners' land, measuring 2670 sq. meter in Khasra No. 475, has been utilized for construction of road. Other land owners whose land was also utilized for construction of road, have received compensation at the rate of Rs.179 per sq. meter. Petitioners may also collect compensation at the same rate from the office of respondent 2.

13. Another supplementary counter affidavit has been filed on behalf of respondent 3 stating that exchange of land is not possible. Since other land owners has been paid compensation at the rate of Rs. 179/- per sq. meter, as determined by District Level Committee, same is payable to petitioners also. Determination of market value of land in question in respect of sale deed dated 10.06.2002, whereby Rakesh Mohan Singhal purchased land, is not disputed but it is said that it was a matter relating to Rakesh Mohan Singhal and not in respect of petitioners. It is also said that in case petitioners' land is valued at the rate of Rs. 1400/- per sq. meter, it will also cause serious loss of Revenue to State. They have also pointed out that Radhey Shyam Singhal has challenged order of Commissioner dated 17.10.2006 in Writ Petition No. 64199/2006, which is pending.

14. We find from record that this Court by order dated 23.07.2010 required District Judge, Ghaziabad to determine market value of disputed land, either himself or by any other Court nominated by him and submit a report to this Court. Consequentially, a report dated 26.05.2016 was submitted by District Judge, Ghaziabad, annexing therewith report dated 26.05.2014 of Additional District and Session Judge, Court No.4, Ghaziabad, determining market value of property in dispute at the rate of Rs. 2000/- per sq. meter as on 16.09.2005, which was the date, on which land of petitioners was taken into possession by respondents. Aforesaid report dated 26.05.2014 has been given by Additional District Judge, Ghaziabad after hearing petitioners and Sub Divisional Magistrate, Dhoulana.

15. An objection to said report has been filed on behalf of respondents on the ground that rate has been determined treating land in question as commercial. It is also said that Additional District

Judge must have taken guidance from the fact that compensation at the rate of Rs.179/- per sq. meter was given to other land owners.

16. Learned counsel for petitioners contended that in a wholly, illegal manner, State Authorities acted as a land mafia and took possession of petitioners' property. Thereafter they are compelling petitioners to accept compensation on their dictates, this action of respondents is patently illegal, unsustainable and also violative of Article 300-A of Constitution of India. It was open to respondents to have acquired land by following procedure of Land Acquisition Act, 1894 (hereinafter referred to as "Act, 1894") but such procedure was not followed. They misused their official powers, grabbed land of petitioners, forcibly made constructions thereon. Helpless individual petitioners can only request them to give any other land or pay compensation at market value but that is not being done. Instead of determining compensation of land, encroached by respondents, in accordance with law, they (respondents) decided on their own unilaterally, as to what compensation should be paid and are compelling petitioners to surrender to accept said amount of compensation. This is a wholly unconstitutional, illegal exercise of powers on the part of respondents and not only deprive constitutional rights to petitioners but also causing a grave injustice to them.

17. Learned Standing Counsel on the contrary, submitted that land has been acquired under the provisions of Rules, 1997 and compensation is being offered by District Level Committee at the rate determined by Committee. Hence entire procedure prescribed in law has been followed and petitioners are adopting an adamant attitude in the matter, though other land owners have accepted compensation at the rate of Rs. 179/- per sq. meter and same must be accepted by petitioners as well.

18. In our view, issues required to be considered in this case are:

> 1. Whether petitioners' land has been taken by the respondents in accordance with law?
>
> 2. Whether Rules, 1997 lays down procedure for acquisition of land without following procedure of acquisition prescribed in Act, 1894?
>
> 3. If question 1 is answered against respondents, to what relief petitioners are entitled in the facts of this case?.

19. It is admitted by learned Standing Counsel that no steps for acquisition of land were initiated under Act, 1894. There was no notification issued under Section 4 for the purpose of acquisition of petitioners' land, no opportunity of submitting representation under Section 5-A was allowed and no declaration under Section 6 had been made by State Government. Hence question of taking resort to provisions of Rules, 1997 and making an award by Collector under Section 11 also does not arise. However, he has relied on Rules 1997, suggesting that land has been acquired under the said Rules. We have gone through aforesaid Rules and do not find that said Rules are applicable for laying down any procedure of acquisition of land. Aforesaid Rules are applicable when a land is

required to be acquired forcibly following procedure under Act, 1894 and only for compensation, the above Rules are following to determine market value. Rules 1997 provide that a land which is sought to be acquired for any department or local body etc., in respect thereof, Collector can enter into agreement for quantum of compensation of acquired land. The procedure for such compensation is that on prescribed terms and conditions and rates during proceedings of acquisition, land owners shall submit an application that he is agreeable with terms and conditions and rates, for compensation as determined and award may be declared accordingly. Thereafter Collector shall issue notice to person concerned for execution of agreement and after hearing them shall permit for execution of agreement for payment of compensation on the rate agreed between parties.

20. Relevant Rules 2, 3, 4, 5 and 6 of Rules, 1997 lay down aforesaid procedure are reproduced as under :

> "2. The body or Department for which the land if being acquired may, at any stage of the proceedings settle down the terms and conditions and rates of the land under acquisition, with the land owners and appear before the Collectors and make an application indicating the terms and conditions so settled down and its readiness and willingness for determination of compensation and declaration of award in accordance with agreement. The Collector shall, if satisfied, issue notice to the persons interested in the land under acquisition to express their readiness and willingness to execute the agreement in writing, on the matters to be included in the award.
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> 3. The Collector may, after hearing the parties, and upon being satisfied that the persons interested in the land are ready and willing to execute the agreement, grant the permission unless, for reasons to be recorded in writing he decides to refuse it.
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> 4. (1) The collector shall, where he grants the permission inform the persons interested in the land by registered post, about date, time and place for the execution of the agreement.
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> (2) The agreement shall be executed in the form appended to these rules, with necessary details as to whether possession has, or has not, been taken before the award.
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> (3) If the persons so informed fail to turn up and execute the agreement on such date, time and place or the extended date, as the case may be, the Collector shall proceed to make enquiry under Section 11 from the stage, at which the application under Rule 2 was made.
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> 5. The amount of compensation to be settled in the agreement shall, always abide by the instructions issued by the State Government of Uttar Pradesh from time to time.

> 6. (1) When an agreement is discovered to have been fraudulently executed, the Collector shall suo motu, or on an application made in that behalf, cancel the agreement after affording a reasonable opportunity of being heard to the persons who have executed the agreement.
>
> (2) In case of cancellation of the agreement under sub-rule (1) the executants shall have no right to claim any compensation or damages from the State Government." (Emphasis added).

21. Aforesaid Rules therefore, are apparently for the purpose of determination of compensation payable in respect of land acquired under the provisions of Act, 1894 by State. It nowhere dispenses with requirement of publication of notification under Section 4 and 6, making an award under Section 11 of Act, 1894 by Collector. The purpose of Rules is only to cut short litigation, which generally takes place when compensation is determined by Collector vide award under Section 11 of Act, 1894 and thereafter, invariably matter is taken by land owners in further litigation by seeking Reference to District Judge under Section 18 of Act, 1894. Object of Rules 1997 is to curtail this litigation and time taken in making payment of compensation to land owners under Rules, 1997 but same cannot be treated as substituting acquisition proceedings under Act, 1894. Agreement under Rules, 1997 is also voluntary and cannot be forced upon land owners. It is only when land owners voluntarily submit an application, agreeing with terms and conditions and rate of land for compensation offered by Collector, the agreement has to be executed and after permission of Collector, compensation is payable. No land owner can be forced to enter into such an agreement.

22. In the present case, it is admitted by respondents, as we have already noted that no procedure for acquisition of land was ever initiated. No notification was issued by State Government under Section 4 of Act, 1894. No proceeding otherwise under Act, 1894 for acquisition of land was ever initiated with respect to disputed land. Possession was not taken by Collector or respondent 2 or any authority in law, competent under provisions of Act, 1894 but it is evident that exercising their sovereign authority, officials have entered into possession of petitioners' land, forcibly, made construction thereon and now taking advantage of helplessness of petitioners, forcing and compelling them to accept compensation at the rate, which Collector himself has not found true market value, in respect of a sale deed executed in June, 2002. Under Section 34/47-A of Act, 1899, Collector has determined market value of disputed land, as on 10th June, 2002, as Rs. 1400/- per sq. meter.

23. In the present case, possession of petitioners' land were taken forcibly in July 2005 i.e. after three years of sale deed dated 10.06.2002 and still they are compelling petitioners to accept compensation at the rate of Rs. 179/- per sq. meter.

24. It is true that right to property and fundamental right is not a fundamental right in view of 42 Constitutional Amendment and now it is a constitutional rights under Article 300-A, which reads as under :

> "Article 300-A. Persons not to be deprived of property save by authority of law.- No person shall be deprived of his property save by authority of law."

25. In view of above constitutional provisions, it is evident that no person can be deprived of his property except in accordance with the provisions of law, which has not been be done in the case in hand. The procedure prescribed in the Statute i.e. Act, 1894 has not been followed at all. In Jilubhai Nanbhai Khachar, etc. v. State of Gujarat & Anr., AIR 1995 SC 142, Court said that:

> "..... In other words, Article 300 A only limits the power of the State that no person shall be deprived of his property save by authority of law. There is no deprivation without any sanction of law. Deprivation by any other mode is not acquisition or taking possession under Article 300 A. In other words, if there is no law, there is no deprivation Acquisition of mines, minerals and quarries is deprivation under Article 300A."

26. In Tukaram Kana Joshi and others through powers of Attorney Holder vs. M.I.D.C. and others, 2013 1 SCC 353, Court has observed that:

> "..... The right to property is now considered to be not only a constitutional or a statutory right but also a human right. Though, it is not a basic feature of the Constitution or a fundamental right. Human rights are considered to be in realm of individual rights, such as the right to health, the right to livelihood, the right to shelter and employment, etc. Now however, human rights are gaining an even greater multifaceted dimension"

27. In the present case, we find that despite admission that there was no acquisition proceedings initiated under Act, 1894, respondents have denied legal and valid claim of compensation to petitioners in the grab of concise procedure provided in Rules, 1997 by passing the legal procedure for acquisition of land under Act, 1894, which was not legally permissible to respondent authorities. It is the duty of a Welfare State to protect the constitutional right of a citizen.

28. Petitioners have been deprived of their immovable property in utter disregard of rule of law by gross misuse of authority on the part of respondents. This is in clear violation of Articles 300-A and Article 21 of Constitution of India.

29. Petitioners have suffered a lot in the hands of arrogant and over zealous authorities of State who have shown their kindness in proceeding to undertake work of public interest, like construction of road but simultaneously crushing legal and constitutional rights of other persons whose private land is taken illegally by them and their rights have been defeated in a most unconstitutional manner.

30. Market vale of property for the purpose of stamp duty was determined by Collector himself while examining a document executed on 10.06.2006 at the rate of Rs. 1400/- per sq. meter and under orders of this Court, District Judge has also submitted a report adjudicating market value on 16.09.2005 at the rate of Rs. 2000/- per sq. meter. In normal course, respondents should have

accepted claim of petitioners for payment of compensation as per the rate determined by Collector under Section 33/47A of Act, 1899 but emboldened with their success in encroaching land of other land owners, they thought that petitioners also can be forced to accept whatever they want to pay them and in that way created terms to accept compensation at the rate of Rs. 179/- per sq. meter. In the report submitted by District Judge, market value on the date when possession was taken, was Rs. 2000/- per sq. meter. That rate could have been adjudicated by District Judge, had there been acquisition under Act, 1894 and reference would have been made under Section 18 of Act, 1894.

31. Situation presently has undergone some further change when Act 1894 has been repealed and substituted by "The Right to Fair Compensation and Transparency in Land Acquisition, Rehabilitation and Resettlement Act, 2013" (hereinafter referred to as "Act, 2013"). If we allow respondents to take steps for acquisition of land in dispute under Act, 2013 and pay compensation to petitioners, as determined therein, it would be much more than what was determined by Collector under section 34/47 of Act, 1899 and by District Judge vide report dated 26.05.2017, pursuant to order passed by this Court.

32. Title of land in question, unless there is valid acquisition, could not have vested in the State merely for the reason that it has forcibly possessed and successfully constructed road though land has not been acquired as per procedure prescribed under law. Title of land still vests in petitioners. They have been compelled to continue with litigation and despite having lost land in 2005, are still awaiting due compensation of immovable property, which has been illegally taken away by respondents.

33. If compensation would have been paid to petitioners in 2005-06, purchasing capacity with compensation amount would have been different at that time than it is paid to them today. We may recall observation made in K. Krishna Reddy and others vs. Special Deputy Collector, Land Acquisition Unit II, Lmd Karimnagar, Andhra Pradesh, 1988 4 SCC 163.

> "... After all money is what money buys. What the claimants could have bought with the compensation in 1977 cannot do in 1988. Perhaps, not even one half of it. It is a common experience that the purchasing power of rupee is dwindling. With rising inflation, the delayed payment may lose all charms and utility of the compensation. In some cases, the delay may be detrimental to the interests of claimants. The Indian agriculturists generally have no avocation. They totally depend upon land. If uprooted, they will find themselves nowhere. They are left high and dry. They have no savings to draw. They have nothing to fall back upon. They know no other work. They may even face starvation unless rehabilitated. In all such cases, it is of utmost importance that the award should be made without delay. The enhanced compensation must be determined without loss of time..." (Emphasis added)

34. We also put on record our strong disapproval to stand taken by respondents by not taking any action against erring officials who have deprived citizens of their immovable property in apparent illegal manner, without following procedure prescribed in law. Instead of realizing the illegality they have done and to repent therefor, respondents are bold enough to contest the matter by taking stand

that exchange of land is not permissible and petitioners must accept compensation at the rate of Rs.179/- per sq. meter. In fact officials who grabbed land and proceeded to make road in illegal manner without acquiring land of petitioners in accordance with law, must have been proceeded departmentally and even otherwise should have been awarded serious penalty so that other officials may not dare to commit such grave illegality in respect of other land owners. Respondent 1 is responsible for not taking action against any official(s) who have proceeded to deprive citizen of their property is flagrant violation of procedure prescribed in law.

35. We are left with no option but to allow this writ petition and direct respondents to take up action and proceed to acquire land in dispute by taking steps under Act, 2013, forthwith, and complete process of determination of compensation within six months from the date of production of a certified copy of this order. We further direct that for determining compensation, Competent Authority shall take market value of land of petitioners at the rate of Rs.2000/- per sq. meter as determined in 2005, and add an amount of 15% per annum towards simple interest, till the date of enforcement of Act, 2013, 30% towards solatium and 12% towards additional compensation and this amount shall be treated as market value for compensation under Act, 2013 on the date of enforcement and further amount shall be determined accordingly.

36. This entire procedure as directed including compensation shall be completed within six months from the date of production of a certified copy of this order.

37. All the three questions are decided in favour of petitioners and against respondents.

38. Since here is a case where petitioners have been harassed by illegal act of respondents in grabbing their land unauthorizedly and denying due compensation for almost more than thirty years, and that they have also been forced to accept a meagre amount of compensation, hence petitioners are also entitled to exemplary cost.

39. Writ petition is accordingly allowed as stated above. In the peculiar facts and circumstances of the case, we impose exemplary cost, which is quantified to Rs. 50,000/-.

Order Date :- 23.1.2018 Monika